

GOVERNMENT OF ANDHRA PRADESH
ABSTRACT

Agriculture & Cooperation (H&S) Department - Planning and execution of the Integrated Horticulture Development Plan (IHDP) — a comprehensive, convergent and time-bound programme to transform Rayalaseema into a globally competitive horticulture hub that aligns irrigation development & water security, road connectivity, and value-chain competitiveness so as to deliver a step-change improvement in farmer incomes, export competitiveness, and regional economic growth in Rayalaseema Region, Andhra Pradesh along with an Associated Investments from private sector in Horticulture, Irrigation and Rural Roads with an amount of Rs.1,00,000 crore – Approved - Orders - Issued.

=====

AGRICULTURE & COOPERATION (H&S) DEPARTMENT

G.O.Rt.No.416

Dated:19.05.2026.

Read:

From Director of Horticulture and Sericulture, A.P., efile Comp.
No.3120602.

ORDER:

In the e-file read above, the Director of Horticulture and Sericulture, A.P., has submitted the proposal for Planning and execution of the Integrated Horticulture Development Plan (IHDP) — a comprehensive, convergent, and time-bound programme to transform Rayalaseema into a globally competitive horticulture hub that aligns irrigation development & water security, road connectivity, and value-chain competitiveness so as to deliver a step-change improvement in farmer incomes, export competitiveness, and regional economic growth in Rayalaseema Region, Andhra Pradesh along with an Associated Investments from private sector in Horticulture, Irrigation and Rural Roads with an amount of Rs.1,00,000 crore (Rs.40,000 crore public investment – Horticulture - Rs.14,906/- crore, Irrigation Infrastructure– Rs.20,884/- crore, Rural Road Development works – Rs.4,562/- crore and Rs.60,000 crore private investment) in Rayalaseema Region, Andhra Pradesh.

I. Background

1. The Department of Horticulture in convergence with Water Resource Department, Panchayat Raj Department and other line departments has formulated an Integrated Horticulture Development Plan (IHDP) for the Rayalaseema Region aiming to transform Rayalaseema Region into a global horticulture hub.
2. The Rayalaseema Region is characterized by semi-arid climatic conditions, has significant potential for expansion of horticulture, productivity enhancement, and export-oriented growth. The Rayalaseema Region also enjoys strategic advantages such as proximity to ports, National highways, and major metropolitan markets, making it suitable for export-oriented horticulture development. At present the Rayalaseema region accounts for about 8.41 lakh hectares under horticulture with production of 222 lakh MT, which is projected to increase to 14.41 lakh hectares and with production of 435 lakh MT by 2030 by implementation of IHDP.

II. JUSTIFICATION

- 1.The proposal to develop Rayalaseema as a horticulture hub in Andhra Pradesh is justified on economic, climatic, agricultural, infrastructural, and social grounds. The region possesses strong natural advantages for horticulture and has already emerged as a major producer of fruits, vegetables, spices, and flowers. Government initiatives now aim to convert this existing strength into a globally competitive horticulture ecosystem.
- 2.The region's climate supports year-round cultivation and high-quality produce with export potential.
- 3.Compared with traditional dryland crops like groundnut and millets, horticulture significantly improves farmer incomes. Farmers in the region are increasingly shifting towards: Floriculture, Fruit orchards, Vegetable cultivation because of better profitability and reduced water usage.
- 4.Employment Generation and Rural Development: The Reports indicate that the project may create nearly 9 lakh jobs directly and indirectly. This is especially important for Rayalaseema, where migration due to lack of employment has been a long-standing issue. Community discussions also highlight concerns regarding uneven regional development and dependence on migration.
- 5.Regional Balanced Development Rayalaseema has historically lagged behind coastal Andhra in irrigation and industrial growth. Establishing a horticulture hub can reduce regional disparities, improve rural infrastructure, promote agro-industries and strengthen local economies.
- 6.The formation of a horticulture hub in Rayalaseema is justified because the region has: suitable climate and soils strong existing horticultural production water-efficient cultivation potential, high-value export crops, scope for employment generation, need for balanced regional development. By integrating modern irrigation, infrastructure, processing, and export systems, the Rayalaseema Horticulture Hub can transform the drought-prone region into a sustainable agricultural growth engine for Andhra Pradesh

III. PROPOSED APPROACH

The Andhra Pradesh Government proposes an integrated, multi-departmental approach for implementing the Rayalaseema Horticulture Hub Programme. The programme focuses on coordinated action by the Department of Horticulture, Irrigation Department and Roads & Transport Department to transform Rayalaseema into a globally competitive horticulture region.

Horticulture – Core Components

- **Infrastructure & Expansion: 201 clusters** across **5,869 villages** in **303 mandals** in Anantapur, Annamayya, Chittoor, Kurnool, Markapuram, Nandyal, Prakasam, Sri Satya Sai, Tirupati, and YSR Kadapa districts.
- **Target Crops:** Focus on mango, sweet orange, acid lime, pomegranate, guava, banana, papaya, and special focus on apple, avocado, figs, and pepper.
- **Logistics & Processing:** Development of post-harvest facilities, cold chains, warehouses, and including partnerships with reputed multi-national companies.

Implementation &Phasing:

- The programme will be implemented in a **3-year phased manner:**
- Year 1: 70 clusters
 - Year 2: 62 clusters
 - Year 3: 69 clusters

Component wise Investment Plan – Horticulture

S.No	Component	Amount Rs in Cr
1	Pre-Production & Input Systems	200
2	Crop Production & Micro Irrigation	12,103
3	Postharvest handling & Processing	1010
4	Marketing and Branding	1020
5	Technology	100
6	Training & Capacity Building and Project expenses	473
Total		14,906

Irrigation – Key Components

- a) **Canal Network Development**
 - Main canals, branch canals, distributaries
 - Improves **water conveyance efficiency**
 - Reduces dependence on rainfall
- b) **Gravity and Lift Irrigation Systems**
 - Essential due to uneven terrain
 - Water lifted in stages using pumps
 - Enables irrigation in **high-altitude dry lands**
- c) **Reservoir Integration**
 - Linking reservoirs ensures **water storage and regulation**
 - Helps in **flood control and drought mitigation**
- d) **Command Area Development**
 - Land levelling, field channels, drainage
 - Promotes **efficient water use and crop productivity**

Implementation and phasing:

The programme will be implemented in a 3-year phased manner.

Year wise financial projection of funds – Rs in crores

1 st Year	2 nd Year	3 rd Year	Total
6998	6992	6894	20884

Rural Roads – Key Components:

Road Reconstruction

- Complete rebuilding of damaged roads
- Length: 2733 km
- Cost: ₹1726 crores

Layer Upgradation

- Strengthening existing road layers
- Length: 2613 km
- Cost: ₹2352 crores

Lane Upgradation

- Widening roads for better traffic flow
- Length: 401 km
- Cost: ₹484 crores

Phased Development Strategy: A three-year phased approach is adopted with total investment of Rs.4562 crores:

Year 1 – Investment proposed is Rs.970 crores

- Focus on:
 - Last-mile connectivity
 - High-impact roads
- Quick completion of ongoing projects

Year 2 – Investment proposed is Rs.2643 crores

- Expansion to additional rural clusters
- Strengthening connectivity networks

Year 3– Investment proposed is Rs.949 crores

- Comprehensive road network development
- Integration with economic infrastructure

2. Further, the Director of Horticulture and Sericulture, A.P., Guntur has requested to accord administrative approval

1.for implementation of the Integrated Horticulture Development Plan (IHDP) in Rayalaseema region at a total outlay of ₹14,906 crore over three years;

1.i) for use project expenses (2.5% of total project outlay) towards implementation of IHDP.

2. for associated irrigation infrastructure investments of ₹20,884 crore, aimed at creating an additional ayacut of 8.87 lakh acres and stabilising 4.30 lakh acres across Rayalaseema districts;

3.Administrative Sanction for rural road development works of ₹4,562 crore covering approximately 6,583 km to strengthen farm-to-market connectivity across the region;

3. After thorough verification of the proposal of the Director of Horticulture and Sericulture, A.P., Guntur and considering the strategic importance of long term drought – proofing, horticulture –led regional development and infrastructure convergence in Rayalaseema Region, Government hereby approves Integrated Horticulture Development Plan (IHDP) with the administrative approval-

I. for implementation of the Integrated Horticulture Development Plan (IHDP) in Rayalaseema region at a total outlay of ₹14,906 crore over three years;

I.(i).for use project expenses (2.5% of total project outlay) towards implementation of IHDP

II. for associated irrigation infrastructure investments of ₹20,884 crore, aimed at creating an additional ayacut of 8.87 lakh acres and stabilising 4.30 lakh acres across Rayalaseema Districts;

III.for rural road development works of ₹4,562 crore covering approximately 6,583 km to strengthen farm-to-market connectivity across the region; subject to condition that,

“Sanction of the external assistance from the World Bank and the receipt of the counter part funding (25% of the Project cost) from Government of India”.

4. The Director of Horticulture & Sericulture, A.P., Guntur shall take further necessary action accordingly.

5. This order issued with the concurrence of Finance(FMU.A&C, AHDDF &CS)Department, vide their U.O.No:FIN01-FMU0PC(AC)/31/2026-FMU-AC-CS-AH, (C.No:3256311), Dt:18.05.2026.

(BY ORDER AND IN THE NAME OF THE GOVERNOR OF ANDHRA PRADESH)

B RAJSEKHAR
EX-OFFICIO SPECIAL CHIEF SECRETARY TO GOVERNMENT

To

The Director of Horticulture & Sericulture, A.P., Guntur.

Copy to:

The Finance (FMU-A&C) Department, A.P. Secretariat.

The General Administration (Cabinet-II) Department, A.P. Secretariat,

The PS to Secretary to Hon'ble C.M., A.P.Secretariat.

The PS to Hon'ble Minister(Agriculture, Marketing &Cooperation).

The PS to Ex-Officio Special CS to Government(Agri, Mark & Coop.)

The PS to Special Chief Secretary to Government,
Transport and Roads & Building Department.

The PS toSpecial Chief Secretary to Government, I&I Department

The PS to Special Chief Secretary to Government,
Panchayat Raj & Rural Development Department.

The PS to Special Chief Secretary to Government, Water Resources

The PS to Principal Secretary to Government, Finance Department

The PS to Principal Secretary to Government, Food Processing Department.

The PS to Secretary to Government, Finance Department
SC/SF.

//FORWARDED:: BY ORDER//

SECTION OFFICER

Annexures to the G.O.Rt.No.416, Agriculture and Co-operation
(H&S) Department, dt: 19.05.2026 (6 Sheets)

Horticulture – Year Wise Phasing (1/2)

- Expanding the per capita cultivable area and improvement of crop yields is a priority
- FPOs are being formed with cluster approach to facilitate easy technology dissemination, collective use of infrastructure, and improved marketing
- For global marketability of produce, GAP and product perfection coupled with suitable post harvest infrastructure to ensure the quality of produce
- Infrastructure at ports and airports is being developed to enable smooth shipment of horticulture produce

S. No	Component	Unit	Assistance per Unit(Ha / No) in Rs	Proposed area in Ha/ Nos	Year 1	Year 2	Year 3	Total assistance
					2026-2027	2027-2028	2028-2029	
1	Climate-Resilient Horticulture Expansion and Crop Diversification	Ha	60000	600000	1110	1290	1200	3600
2	Clean Plant Material Supply Chain and Nursery Certification	No/ Ha			100	50	50	200
3	Scaling On-Farm Climate Adaptation: Precision Irrigation and Fertigation Systems	Ha	78000	775000	2000	2000	2045	6045
4	Automation in Micro irrigation	Ha	22000	75000	55	55	55	165
5	Productivity Enhancement of Existing Orchards	Ha	40000	200000	300	300	200	800
6	Product Perfection-Adoption GAP practices, GAP Certification, and Traceability Systems	Ha	25000	300000	250	250	250	750
7	Post-harvest, handling, logistics, packing and branding	Nos	LS		300	310	300	910
8	Creation of market infrastructure including whole salemarkets & retail out lets and branding	Nos	LS		200	200	220	620

Horticulture – Year Wise Phasing (2/2)

S. No	Component	Unit	Assistance per Unit (Ha/No) in Rs	Proposed area in Ha /Nos	Year 1	Year 2	Year 3	Total assistance
					2026-27	2027-28	2028-29	
9	Technology dissemination through front line demonstrations -Demonstration of Innovative Horticulture Technologies and Mechanized equipment	Nos/ Ha	LS		100	50	50	200
10	Farm mechanisation	Nos	50000	100000	80	60	60	200
11	Fostering Export Competitiveness and Market Linkages through ports and airports and creation of infra at ports, airports and Railway stations	Nos	LS		200	200	200	600
12	Establishment of Centre of Excellence for Human Resource	Nos	LS		50	0	50	100
13	Development of eco system for start-ups & Agribusiness, formation & strengthening of FPOs and farmers federations.				40	50	50	140
14	Creation of awareness, institutional strengthening, capacity building & skill development	Nos	LS		40	40	20	100
15	Development of technology packages in electronic form to be shared via IT network.	Nos	LS		50	20	30	100
16	Project management expenditure (2.5% of total project out lay)		LS		124	124	127	376
Total					4999	4999	4907	14906

Rural Roads – Component wise and district wise Phasing

District	Reconstructi on		Layer_ upgradation		Lane_ upgradatio n		Phasing			Total	
	Leng th (Km)	Est. Cost (Cr)	Leng th (Km)	Est. Cost (Cr)	Leng th (KM)	Est. Cos t (Cr)	2026- 27	2027 -28	2028 -29	Leng th (KM)	Est. Cost (Cr)
Anantha puramu	559	355	378	340	27	34	189	493	177	964	729
Annamay ya	219	138	120	108	45	54	75	199	75	384	300
Chittoor	151	95	153	138	65	79	75	209	78	369	312
Kurnool	442	279	279	251	-	-	125	330	115	721	530
Nandyal	279	176	396	356	-	-	121	343	114	675	532
Prakasa m &Markap uram	445	281	389	350	240	289	196	550	215	1074	920
Sri Sathya Sai	384	242	265	239	21	25	119	317	112	670	506
Tirupathi	95	60	136	122	-	-	49	138	46	231	182
Y.S.R Kadapa	159	100	497	448	2	3	121	363	116	658	551
Grand Total	2733	1726	2613	2352	401	484	1070	2942	1048	5746	4562

Irrigation – Project wise Phasing (1/3)

Sl No	Description	Year wise Financial Projection/ Funds Utilization				Remarks
		1st Year	2nd Year	3rd Year	Total	
1.a	Veligonda Project Phase- I	2047			2047	Scheduled to be completed in next 6 months. 3.8 acre of new ayacut will be added. Huge potential of irrigation
1.b	Veligonda Project Phase-II		537	918		Continuation to Phase – 1, to circulate the distributaries. 2.36 incremental ayacut
2	Korisapadu Lift Scheme		38	111		Micro-irrigation facilities to 20,000 acres of agricultural land by lifting 1.33 TMC of water
3	Sri Pothula Chenchaiiah Paleru Reservoir		177			Scheduled to be completed in next 6 months. Reliable drinking water for 30,000 population in 15 villages
4.a	Mallemadugu Lift	31	200		31	Lift water to Mallemadugu Reservoir, Drinking water to 0.50 lakh Population, Irrigation facilities to 0.55 Lakh Acres
4.b	Mallemadugu Reservoir		100	197		Irrigation potential for 55,000 acres; Drinking water security for approximately 50,000 people

Sl No	Description	Year wise Financial Projection/ Utilization Funds				Remarks
		1st Year	2nd Year	3rd Year	Total	
5	Balaji Reservoir		101	424		Drinking water supply to 5.4 lakh Population; Caters to the high demands of Tirupati- Tirumala region
6.a	Reservoirs on KBC - Yamiganipalle Reservoir	75	239	50	75	Buffer storage, capturing regulated flows from the HNSS Kuppam Branch Canal, irrigation reliability for 2,500 acres, ground water aquifers
6.b	Reservoirs on KBC - Maadanapalle Reservoir	50	71	50	50	Urgent necessity to address the critical water needs of Santhipuram and Kuppam mandals; assured irrigation to 2,500 acres
7	S.S Tanks on Punganuru Br Canal @ Chippili and Guntivaripalle	20			20	Support Madanapalle in Chittoor District facing acute water scarcity; Stores 0.176 TMC of water by drawing from Punganur Branch Canal
8	Mulapalli Lift Irrigation to Kalyani Dam	121			121	Supplement Kalyani Dam of 432.3 Mcft dependable inflows from HNSS
9	SSLC from Alturupadu to Merlapaka including Alturupadu LIS	18			18	Enable water transfer from GNSS to Mallemadugu and Balaji reservoirs; Stabilize 12,000 acres of ayacut; Drinking water to 2.50 lakh people
10	HNSS Main canal Km 490 to Km 554	300	121		300	Enable irrigation for 5,800 acres of new ayacut; Drinking water supply in Annamayya
11	Neeva Branch Canal	340	164		340	Viable solution to reverse desertification, stabilize agriculture, and ensure drinking water security; Irrigate 57,500 acres of new ayacut
12	Lift from Palar to Kuppam Brach Canal (connects to KBC@84.50)	64			64	Located at the tail end of the HNSS; Prone to supply shortfalls; Vital to utilize surplus from Palar River

Irrigation – Project wise Phasing (2/3)

Sl No	Description	Year wise Financial Projection/ Funds Utilization				Remarks
		1st Year	2nd Year	3rd Year	Total	
13.a	Althurpadu Lift		19		19	Lift is necessary to feed Althurupadu Reservoir. Under which 2,000 Acres of New Ayacut and stabilization of 78,464 Acres.
13.b	Althurpadu Reservoir	123	200	400	723	Reservoir proposed to store 0.900 TMC of water. Yield substantial benefits to farmers across the Tirupati, Venkatagiri, and Srikalahasthi
14	HNSS Main canal from Km 400.00 to Km 490.00	612	200		812	Project is the only alternative to save the existing ayacut in the district. Completing this work will positively impacts Ground Water table
15	Jeedipalli-Upper Pennar lifts	384	256		639	Lifting water from the Jeedipalli reservoir is essential to ensure reliable irrigation for the Upper Pennar Project; Formation of two new reservoirs and developing 15,000 acres new ayacut under this work
16	Jeedipalli-Bhairavanithippa Project LIS	301	389	157	846	Stabilize existing ayacut of 12,000 acres under the Bhairavanithippa Reservoir on Vedavathi (Hagari) River
17	Commuinty Micro Irrigation	400	100		500	Highly undulated area & cannot be irrigated under conventional method by gravity; Supply 1.69TMC of water from Jeedipalli reservoir of HNSS Project
18	Improvements to Madakasira branch canal	200	400	566	1166	Upstream reach of the HNSS project to Irrigate 24,429 Acres and meet demand for domestic, industrial needs.
19	Peruru Lift Irrigation Scheme	644	545		1189	Developing ayacut and providing water supplies to about 80,600 acres, which significantly boost the socio-economic conditions

Sl No	Description	Year wise Financial Projection/ Funds Utilization				Remarks
		1st Year	2nd Year	3rd Year	Total	
20.a	Galeru Nagari Sujala Sravanthi (GNSS) Upto Kadapa (up to Km.108.000)	372	505	740	1617	~ 99, 583 acres new ayacut will be developed, which significantly boost the socio-economic conditions; Further, supply of water to this area will positively impacts ground water table, there by benefitting a greater number of farmers directly/indirectly
20.b	Galeru Nagari Sujala Sravanthi (GNSS) Upto Kodur (from Km. 108 to Km.180.000)	90	551	1000	1641	
20.c	Galeru Nagari Sujala Sravanthi (GNSS) Upto Kodur (from Km. 180 to Km.240.000)	111	200	600	911	

Irrigation – Project wise Phasing (3/3)

Sl No	Description	Year wise Financial Projection/ Funds Utilization				Remarks
		1st Year	2nd Year	3rd Year	Total	
21	Annamayya Project (Restoration)		387	401	788	Utilize 2.24 TMC of water from River Cheyyeru to irrigate 11,762 Acs in AnnamayyaDist
22.a.	Vedavathi Lift Irrigation Scheme	146	800	889	1835	Utilize 8.292 TMC of water from Hagari River to irrigate 80,000 Acres of New Ayacut; Completion of the Project will boost the agricultural productivity
22.b.	Alganuru Balancing Reservior (Restoration)	36			36	Project is to restore the slipped part of Earth dam; Water for irrigation and drinking water to 90,000 Acres under KC Canal

Sl No	Description	Year wise Financial Projection/ Funds Utilization				Remarks
		1st Year	2nd Year	3rd Year	Total	
22.c.	Gajuladinne Project		20	72	92	Purpose of the work is to provide drinking water facilities to Yemmiganur Municipality duly enhancing the capacity of the Reservoir by 1.0 TMC i.e., from 4.50 TMC to 5.50 TMC; will boost the agricultural productivity
23.a.(i)	Minor Irrigation Tanks-Prakasam (302 Nos)	50	350	299	699	Storage capacity of these tanks will significantly improve, boost crop yields, and encourage farmers
23.a.(ii)	Minor Irrigation Tanks- Satya Sai (182 Nos)	60	88	20	168	
23.a.(iii)	Minor Irrigation Tanks- YSR Kadapa (99 Nos)	37	30		67	
23.a.(iv)	Minor Irrigation Tanks-Kurnool (110 Nos)	30	42		72	
23.a.(v)	Minor Irrigation Tanks- Chittor (156 Nos)	60	32		92	
23.a.(vi)	Minor Irrigation Tanks-Tirupathi (72 Nos)	75	100		175	
23.a.(vii)	Minor Irrigation Tanks- Annamayya (90 Nos)	38	30		68	
23.B	Palar Check Dams (21)	64			64	
23.c	Strengthening of Minor Irrigation System from KBC	100			100	Supplement and strengthening of minor irrigation linkages to KBC reservoirs
Grand total		6,998	6,992	6,894	20,884	

B RAJSEKHAR

EX-OFFICIO SPECIAL CHIEF SECRETARY TO GOVERNMENT